

POLICY AT A GLANCE

Product	Lincoln WealthBuilder® IUL (Indexed Universal Life)
Insured	Swati Chugh Female Age 43 California Preferred Non-Tobacco
Death Benefit	\$5,000,000 initial (increasing with cash value for first 10 years, then level)
Annual Premium	\$266,675 / year for 10 years → Total scheduled: \$2,666,750
Growth Rate	7.19% assumed (S&P; 500 Dynamic Intraday TCA 15, 1-yr indexed account)
Riders	Enhanced Overloan Protection • Accelerated Death Benefit (ABR) • Performance Multiplier (PMR)
Issued by	The Lincoln National Life Insurance Company, Fort Wayne, IN

OUT-OF-POCKET COST

Q1 — Do I pay anything out of pocket?

No — \$0 out of pocket, every year.

- A third-party lender funds 100% of premiums (\$266,675/yr × 10 yrs) through a Commercial Premium Financing loan.
- Loan interest (4.50%/yr) is also borrowed — never paid from your pocket.
- Interest rolls into the loan balance, growing it to \$5,237,646 by Year 19.
- In Year 20, the policy uses its own cash value to repay the entire loan in one shot.
- Your Net After-Tax Outlay = \$0 for all 50 illustrated years.

TAKING MONEY OUT — YEAR 21+

Q2 — What if I take \$150k/year starting Year 21?

\$150k/yr is tax-free — and sustainable.

- Distributions are taken as indexed policy loans — not taxable income.
- The illustration shows \$204k/yr is supportable; \$150k/yr is even more conservative.
- At \$150k/yr you'd receive \$3.6M tax-free over 24 years (ages 64–87).
- Policy cash value and death benefit remain healthy — likely higher than the \$204k scenario.
- Policy is not a MEC, so all loans remain income-tax-free.

HOW THE LOAN BALANCE BUILDS — THEN DISAPPEARS

Year	Age	Annual Premium Borrowed	Interest Accrued @ 4.50%	Loan Balance (End of Year)	Net Out-of-Pocket
1	44	\$266,675	\$12,540	\$279,216	\$0
2	45	\$266,675	\$25,671	\$571,561	\$0
5	48	\$266,675	\$68,883	\$1,533,700	\$0
10	53	\$266,675	\$155,559	\$3,463,560	\$0
19	62	\$0	\$235,238	\$5,237,646	\$0
20	63	\$0	\$0	\$0 ← REPAID	\$0

ILLUSTRATED DISTRIBUTIONS AFTER YEAR 20 (@ 7.19% assumed rate)

Year	Age	Annual Distribution (Policy Loan — Tax-Free)	Policy Cash Value (Net)	Death Benefit
21	64	\$204,086	\$1,322,504	\$3,015,057
25	68	\$204,086	\$1,288,841	\$2,958,027

30	73	\$204,086	\$1,479,690	\$2,915,634
35	78	\$204,086	\$2,126,170	\$3,045,790
40	83	\$204,086	\$3,473,105	\$4,766,676
43	86	\$204,086	\$4,739,521	\$6,323,876

★ At \$150k/yr (your scenario) — less drawn each year means higher cash value, larger death benefit, longer policy life. Total tax-free income at \$150k/yr over 24 yrs = \$3,600,000

This one-page summary is for discussion purposes only and is derived from a Lincoln Financial illustration dated March 10, 2026. All values are hypothetical and based on a 7.19% non-guaranteed assumed interest rate. Actual results will vary. Policy loans and withdrawals reduce cash value and death benefit and may cause lapse. This is not a contract and does not constitute tax, legal, or investment advice. Consult your financial professional and tax advisor before making any decisions.